Difficulty Level: Tough

31. Statement I: CORRECT—Trade is essentially buying and selling of items produced elsewhere. All the services in retail and wholesale trading or commerce are specifically intended for profit. The towns and cities where all these works take place are known us trading centres.

    The rise of trading from barter at the local level to money-exchange of international scale has produced many centres and institutions such as trading centres or collection and distribution points.

    Statement II: CORRECT—Trading centres may be divided into rural and urban marketing centres. *Rural marketing centres* cater to nearby settlements. These are quasi-urban centres. They serve as trading centres of the most rudimentary type. Here personal and professional services are not well-developed.

    These form local collecting and distributing centres. Most of these have *mandis* (wholesale markets) and also retailing areas. They are not urban centres *per se* but are significant centres for making available goods and services which are most frequently demanded by rural folk.

32. Statement I CORRECT: Retail Trading is the business activity concerned with the sale of goods directly to the consumers. Most of the retail trading takes place in fixed establishments or stores solely devoted to selling. Street peddling, handcarts, trucks, door-to-door, mail-order, telephone, automatic vend- ing machines and internet are examples of non-store retail trading.

    Statement II coRREcT: Wholesale trading constitutes bulk business through numerous intermediary merchants and supply houses and not through retail stores. Some large stores including chain stores are able to buy directly from the manufacturers.

    However, most retail stores procure supplies from an intermediary source. Wholesalers often extend credit to retail stores to such an extent that the retailer operates very largely on the wholesaler's capital.

33. Statement I: coRREcT—Transport is a service or facility by which people, materials and manufactured goods are physically carried